

nestling in their pockets, there is evidence that they are not spending this money wisely. A 2006 study by the Jump\$tart Coalition for Personal Financial Literacy found that almost a quarter of the high school seniors polled classified themselves as seldom or hardly ever saving money. Only 16 percent of the students considered themselves “very thrifty,” meaning they save money whenever they can. For many young adults, if there is money to burn, it does not stay in their possession for long.

When it comes to spending money there are, as we know, only three basic needs in life—food, shelter, and clothing. Anything else is a want. A credit counselor once told me a story about his wife, who was about to go shopping. She said, “Honey, I need a new dress for work.” Her husband, in the habit of lecturing clients every day on the difference between a want and a need, started to give her the same lecture. She had heard these comments many times before and when he was finished she replied, “All right, I won’t buy a new dress, but just remember you have *needs* too!” I asked him how he responded and he said, “I let her buy two dresses!”

There is no right or wrong way to allocate your money. We all have different financial goals that we are striving to achieve. I’ve met people who want to own a really expensive car and in exchange they are willing to live in a small shabby apartment to do so. I’ve known others who spend all their money on their house and therefore have no money to buy or do anything else. Some people love to travel, so they scrimp and scrape all year long in order to be able to afford that trip to Tahiti. The important thing is that however you decide to distribute your money, you should not spend more than you make.

This chapter will cover the most important concepts you need to know regarding money management:

